GMS WEEKLY

Your Source for Recycling News

March 21st, 2025
Week 12
Volume 270, Issue 1177

Highlights:

- **VLs stuck.**
- **Unable to beach.**
- **Flouting rules.**
- **Markets firm.**
- **Backlogged.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"Your attitude determines your altitude."

– Unknown

-- MARKET COMMENTARY --

USDN / UANI LISTS & OFAC SANCTIONS!

This week's news was abuzz surrounding the two OFAC sanctioned VLCCs that recently arrived OPL Chattogram and are now stuck after undoubtedly risky transactions that have resulted in several failed onward resales to various Bangladeshi recyclers from the respective cash buyer, as both vessels have yet to receive their respective NOCs (No Objection Certificates) to permit their entry into port limits for recycling, which themselves need a local MoA prior to its issuance. As the ARTEMIS III and ITAUGUA lie stranded outside, even the Bangladesh Ship Breakers and Recyclers Association (BSBRA) as well as local L/C transacting banks are reportedly unwilling to negotiate on tonnage that is in blatant violation of U.S. / international laws. It will therefore be interesting to see what will happen to these vessels and their respective cash buyers who are now stuck with very expensive assets that have no foreseeable transactional future in sight.

India is similarly taking a restricted approach on such vessels despite previous few deals having reportedly slipped through the cracks on the back of alternate / non-USD payment arrangements. These could likely also come under the microscope even more given that the U.S. State Department has reportedly sanctioned several entities involved in these sales, including even the Oil Minister of Iran. As the spotlight remains squarely on the ship recycling markets over recent times with several OFAC listed / sanctioned / dark fleet vessels still making the rounds to / from cash buyers who seem unabashedly willing to skirt international regulations for the sake of a quick buck, may soon come under fiery investigations from U.S. authorities under the current Trump administration that want to ensure no escape routes or future transmission of funds to / from such transactions occur.

How the future of recycling the world's dark fleet unfolds in this post-sanction friendly, trade war rollercoaster world of 2025 remains to be seen. For now, it does seem as though ship recycling markets maybe heading for a firmer Q2 as the slowing supply of candidates following a recent resurgence in freight rates (particularly in the dry bulk sectors with a number of Panamax bulkers sold for recycling in January) may drive demand (and hopefully vessel pricing) due North. And while charter rates jump, oil remains anemic overall as it ended the week at USD 68.30 / barrel, while ship recycling nation currencies (except in India) recorded noteworthy declines against the U.S. Dollar, and respective local steel prices continue to record jitters keeping sentiments in check despite Indian and Pakistan's economies registering improvements / stability. Bangladesh on the other hand continues to have even more problems with domestic violence than the revival of its economy and Turkey at the far end continues to collapse under the weight of U.S. Dollar in addition to a fresh outpouring of political protests that gripped Istanbul after the arrest of its mayor, the leading opponent against President Erdogan in the upcoming elections.

Overall, with so much backlogged tonnage, it is expected that the ship recycling markets will get busier heading into the second half of this year, especially if tonnage supply gets a boost after a likely April calm. And with the Hong Kong Conventions (HKC) entry into force on 26th June, there is still concern regarding the current upgrade timeline to be undertaken by the various yards in Bangladesh and Pakistan, whilst India already announces its intended documentary requirements for tendering NOR from July, which could be finetuned as we get closer to the launch date!

BANGLADESH

HOT ASSETS & COOLER TIMES!

Unwilling.

With two OFAC listed VLCCs currently idling outside Chattogram port limits, it remains to be seen just what the concerned cash buyer intends do with such loaded assets given that both local banks and local authorities are unwilling to permit entry and redelivery of these assets into the country, especially given the U.S. administrations hardline stance against the Iranian regime, including those who (defacto) choose to deal with them. As the ARTEMIS III & ITAUGUA face an uncertain future awaiting at OPL, inner anchorage was whole new song and dance with over 103K LDT via 7 vessels ranging from sub-1.5K LDT to over 42K LDT units that are either awaiting delivery or were delivered to their respective end buyers.

Ramadan lull.

Meanwhile, the internal situation in Bangladesh remains rife with shock as fresh news surfaced locally this week that Bangladeshi army generals were reportedly discussing the possible arrest and overthrow of the current administration, as the country continues to battle ongoing political and economic tumult. If true, this could spell disaster for the nation and its populous as the economy struggles to get unemployment numbers lowered and inflation reigned in, despite several measures reportedly in the works that have yet to see any progress in the development and infrastructure sectors.

Jackrabbit.

Moreover, with Ramadan holidays incoming and the country bracing for an unprecedented 11-day break, there certainly would be no movement in domestic business activities or even local steel plate prices during this time, which remain dead on the floor at about USD 529/Ton for about two Quarters now. On the flip side, the Taka continues to jump around the U.S. Dollar like a jackrabbit as it shuttered through its share of volatility across the week and ended it, 25 basis points weaker at BDT 121.70.

Forced to face.

Despite all of that is unfolding in the nation, the ship recycling sector in Bangladesh seems firm, albeit for the right type of unit and it could easily be that we see the odd deal concluded into Chattogram at or even slightly above prevailing rates, just so currently open buyers are able to snag a unit before the traditionally quieter Ramadan holidays commence from the end of this coming week. Moreover, this will be especially challenging for **those** local recyclers who are yet to initiate the necessary yard upgrades that are due to have started by Match 31st failing which, those yards will not be allowed to operate or receive NOCs on incoming vessels once the market returns from Ramadan holidays in April, in essence, forcing local recyclers to face a cooler time on the sidelines until necessary action has been initiated.

Overall, as demand has seemingly pent up and indications have come up by about USD 10/LDT, Bangladesh remains as the top ranked market in the sub-continent for another week.

NO MARKET SALES REPORTED

INDIA

POISED!

The Indian market seems increasingly poised to not only take in any geographically positioned tonnage or even those units with a WC India / Pakistan / Bangladesh range redelivery where a recently firmer Bangladeshi market may reject a vessel (on account of its poorer overall condition), but the Indian Rupee also reported a strong 1% increase against the U.S. Dollar closing the week out at Rs. 86.07, as did local steel plate prices record a massive USD 10/Ton jump to USD 453.33/Ton, helping local indications firm up across the week and dislodge Pakistan for the #2 spot on the market rankings.

INR jumps 1%.

Yet, growing questions have been surfacing of late over just how cash buyers were able to complete the recent deliveries of several OFAC listed / sanctioned vessels into Alang and how were local banks and authorities able to permit the same, given that U.S. investigations are reportedly underway. Notwithstanding, Alang of course remains ready to take in the full range of HKC units post June 26th, with Bangladesh still lagging some ways behind (in terms of yard approvals), and Pakistan yet to have seriously begun any upgrades to domestic facilities just yet. In fact, the Indian government is taking the incoming deadline seriously enough that based on initial discussions with GMS representative offices in Alang, the DG of Shipping provided several clarifications on the prospective implementation of the Hong Kong Convention (HKC) post June 26, 2025, which are highlighted as follows.

HKC formalities.

a. There will be an anticipated six-month buffer period of adjustments to the requirements.
b. The International Ready for Recycling Certificate (IRRC) and the IHM on incoming vessels are now mandatory requirements under the new rules.
c. The HKC Statement of Compliance (SoC) will be replaced by the Document of Authorization to conduct Ship Recycling (DASR) and all classification societies have been authorized as Recognized Organizations (RO) by the DG of Shipping.

DASR!

This means that if a particular yard has an HKC SoC from IRS Class, then IRS can issue a DASR to the respective yard with the same being applicable to classes NK, LR, and BV respectively. Any Alang yard(s) without an HKC SoC will not receive a DASR and will logically not be permitted to import ships for recycling post June 26th, 2025. With such rapid progress and advances being made in India coupled with firming at the bidding tables, it is clear that Alang might after all be making the early Q2 / pre-monsoon purchasing rush that the industry has been historically acclimated to.

3 X (< 3K LDT)

And certainly, just in time, especially with their Bangladeshi counterparts now entering an extended holiday period and prompt incoming deliveries from the Far East in addition to those coming in from the West of Alang will more than likely make a debut at local anchorage, making it a far busier place than that compared to what has unfolded this week i.e., a mere 3 x sub-3K LDT units totalling less than 8K LDT.

NO MARKET SALES REPORTED

PAKISTAN

EMPTYING AGAIN?!

Lying dormant.

After nearly a miserable Q1 where Pakistani port reports posted just as many arrivals as the number of months thus far, in the face of increased enquiries / offers emerging from local buyers that helped them briefly move into 2nd place on the market rankings, Gadani anchorage has finally shown promise this week as in addition to last week's arrival that is still idling at the waterfront, a second sub 9K LDT bulker arrived and was delivered to her new owners this week. While this certainly has boosted local confidence seeing more traffic at Gadani, it has not helped raise local offerings, which remain at lower overall numbers when compared to their Indian & Bangladeshi counterparts and especially as Indian indications have jumped this week as well.

Price moves.

And as forecasted last week, the ever-declining local steel plate prices recorded another USD 3.5/Ton drop this week (totaling the entire decline to just about USD 26/Ton over the last four weeks alone), including the Pakistani Rupee, which fell 13 basis points and clocked the week out, breaching the coveted PKR 280 mark, at a record-breaking PKR 280.06 against the U.S. Dollar. Making matters worse is that not only are Bangladeshi recyclers entering an extend holiday break next week and Gadani recyclers stand to celebrate their upcoming vacations as well, but with Indian levels also on the move and distancing themselves from Gadani offers once again, local recyclers will likely endure a quieter time on the sidelines in the coming week(s).

Performance concerns.

Moreover, recent U.S. tariffs that have elevated domestic concerns of rising inflation to the extent that the central government has decided to maintain the prevailing interest rate at 12%, the ship recycling future heading into Q2 may not be as historically rosy as this time of the year has been for this market, especially given that issuances of large U.S. Dollar L/Cs to non-critical sectors remain far and few between, and this has very well highlighted by the meagre collection of comparatively small(er) LDT units that have announced their arrivals into Gadani across Q1.

In fact, should this market keep at pace to take in just one arrival every month, they will have the slowest year on record over the last decade, with 2023 being the slowest with just 16 deliveries throughout the entire year. There are also growing concerns over the capacity of end users in Pakistan to perform post June 26th given that they are yet to commence any serious upgrades, as compared to the neighboring competition that already has a leg-up on their ability to perform in a sustained manner once the HKC comes into effect.

Delays!

As such, Pakistan certainly seems to have directed itself into a tight spot over the next several weeks despite an omnipresent desire to bid on tonnage at the bidding tables, even if they are currently lower than the competition and will likely get lower moving forward, especially if incoming international aid / financial loans fail to arrive in time.

NO MARKET SALES REPORTED

TURKEY

WHIFF OF THE EAST?

This week, Turkey seems to have gotten a whiff of the Easterly winds from Bangladesh as huge protests descended across Istanbul due to the key opposition leader & Mayor of the city (who is entering the upcoming elections against President Erdogan) being reportedly arrested on corruption charges, risking further unrest in an already economically battered Turkey.

Corruption.

While local steel plate prices (both import and local steel) reported no major movements across the week, it was the Turkish Lira that devastated the local ship recycling mindset as not only did it briefly spike to over TRY 40.75 against the U.S. Dollar, but it also still closed the week having declined a whopping 3.57%, at TRY 37.91.

And like the Paksitani market, their local offerings will likely succumb to this economic pressure and fall in the coming week(s), further widening the now increasing gap with sub-continent ship recycling markets.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 12 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	450 / LDT	470 / LDT	480 / LDT
2	Pakistan	**Stable**	445 / LDT	465 / LDT	475 / LDT
3	India	**Weak**	440 / LDT	460 / LDT	470 / LDT
4	Turkey	**Weak**	280 / LDT	290 / LDT	300 / LDT

2024 FUN FACTS

- ***Largest Cruise Ship Sets Sail – January 27th, 2024:*** *The largest cruise ship in the world, 'Icon of the Seas, ' set sail for the first time on January 27th, 2024. The ship has 20 decks and is 1,198 feet long, making it longer than the Eiffel Tower is tall. Over seven thousand passengers can stay onboard. The ship is home to lots of sea-based firsts, including the largest waterpark, ice arena, and swimming pool at sea.*
- ***Super Bowl LVIII Becomes Most Watched Program in US History – February 11th, 2024:*** *February's Super Bowl LVIII became the most-watched TV program in US history. Over 123.4 million viewers across TV and streaming platforms tuned in. The Kansas City Chiefs took home the trophy for the third time in five years.*
- ***Mexico Announces its First Female President – June 2nd, 2024:*** *Mexico announced Claudia Sheinbaum as the first-ever female president on June 2nd, with almost 60.7% of the vote. That's the highest vote percentage in Mexican democracy! Sheinbaum is the former mayor of Mexico. She is a politician and climate scientist who joined the Party of the Democratic Revolution (PRD) in 1989. Sheinbaum is the first female president elected in North America.*
- ***India Announces Results In The World's Largest Election – June 4th, 2024:*** *India's general election this year was six weeks long and split into 44 phases. 642 million people voted and chose between 543 members for the lower house of Parliament. India's 2024 vote became the world's largest-ever election.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
March 28 – Jamat-ul-Wida March 30 – Gudi Padwa March 31 – Eid-ul-Fitr	March 27 – April 05 April 12 – April 17 April 26 – May 03

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
March 26 – Independence & National Day March 28 – Shab-e-Qadr March 29 – April 03 – Eid-ul-Fitr	March 29 – April 01 April 12 – April 15 April 27 – April 30

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until April	March 23 – Pakistan Day March 30 – April 04 -Eid-Ul-Fitr	March 29 – April 03 – Ramzan Bayrami

Prices indicated above are as reported in the market and are not necessarily accurate. This information is provided without prejudice and is given in good faith and without any guarantees whatsoever. While every care has been taken in the preparation of this report, no liability can be accepted for any loss incurred in any way whatsoever by any person relying on the information contained herein. Opinions expressed herein may be deemed subjective and arbitrary. This WEEKLY is intended only for the person or entity to which it is addressed and may contain confidential and/or privileged material. Any review, retransmission, dissemination, or other use of this information by persons or entities other than the intended recipient is prohibited.

ALANG - Port Position as of March 21, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Epon*	*2,689*	*General Cargo*	*Delivered March 18*
2	*Hesen M*	*2,240*	*General Cargo*	*Delivered March 21*
3	KG 7	2,649	Oil Tanker	Arrived March 22
Total Tonnage		**7,578**		

CHATTOGRAM - Port Position as of March 21, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Best Unity*	*9,826*	*Bulk Carrier*	*Delivered March 17*
2	Equator	42,649	Tanker	Arrived March 18
3	*Sungho*	*2,345*	*General Cargo*	*Delivered March 20*
4	*Tasos*	*10,738*	*Bulk Carrier*	*Delivered March 17*
5	**Three Star**	**7,627**	**Bulk Carrier**	**Arrived January 23**
6	*Trader III*	*29,101*	*LNG Tanker*	*Delivered March 15*
7	Vik	1,330	Tanker	Arrived March 19
		103,617		

GADANI - Port Position as of March 21, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Atlantic 22	5,219	Bulk Carrier	Arrived March 13
2	*True Confidence*	*8,907*	*Bulk Carrier*	*Delivered March 20*
Total Tonnage		**14,126**		

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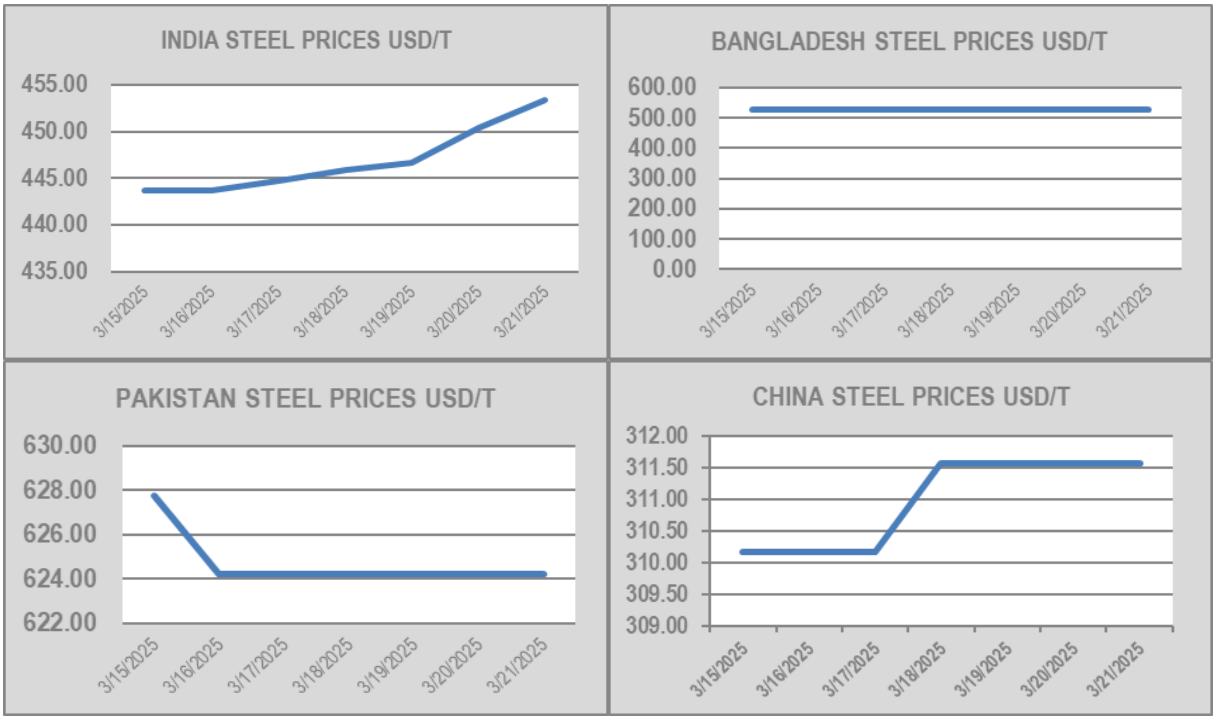
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
3/15/2025	443.68	38,600.00	627.79	176,000.00	529.41	63,000.00	310.18
3/16/2025	443.68	38,600.00	624.22	175,000.00	529.41	63,000.00	310.18
3/17/2025	444.70	38,600.00	624.22	175,000.00	529.41	63,000.00	310.18
3/18/2025	445.93	38,600.00	624.22	175,000.00	529.41	63,000.00	311.57
3/19/2025	446.60	38,600.00	624.22	175,000.00	529.41	63,000.00	311.57
3/20/2025	450.39	38,900.00	624.22	175,000.00	529.41	63,000.00	311.57
3/21/2025	453.33	39,100.00	624.22	175,000.00	529.41	63,000.00	311.57



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